How the squeeze lands: mortgages, investors, shop floors and tech jobs

Rate rises and the May tax changes reach the economy through housing. Investors have left the market, prices are falling and repayments are close to a record share of income. Two AFR stories, a department store and a tech giant, show the pressure spreading to jobs.

WHAT HAPPENED

- With the cash rate at 4.85%, average **variable mortgage rates** reach 6.75%. Repayments would take **37.4%** of a typical household's income, just under the record 37.5% set in December 1989 (REA Group).
- New housing loan commitments are **27% below** their November 2025 peak, a bigger fall than in most credit-tightening phases since 1990. Bullock says the tax changes explain the extra drop in **investor** loans.
- CBA expects the **largest housing downturn on record**, with prices falling in every capital city and in Sydney by as much as 16%.
- The RBA forecasts slow growth, falling real wages and rising unemployment, so many people will feel poorer.

37.4%
of typical household income needed for repayments (record: 37.5%)

−27%
new housing loan commitments vs the November 2025 peak

up to 16%
forecast fall in Sydney prices (CBA)

1,217
Canva jobs to be restructured, 22% of its workforce

FLOW CHART

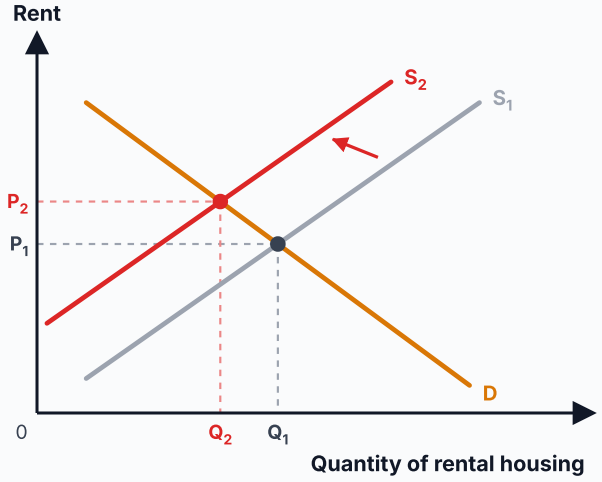
How a rate rise reaches jobs: the transmission mechanism

Cash rate rises to 4.85% → Variable mortgage rates average 6.75% → Repayments reach 37.4% of income → Households spend less; new loans fall 27%

House prices fall (Sydney up to 16%) → Reverse wealth effect: households feel poorer → Retailers and tech firms cut costs → **Unemployment drifts up (5.1% by late 2028)**

DIAGRAM

Investors leave: the rental market



If investors stop buying and holding rentals, the supply of rental homes falls: S_1 to S_2. Rent rises from P_1 to P_2. Some analysts warn this effect builds in the longer term. Not to scale.

BAR CHART

Close to a record squeeze

REPAYMENTS AS % OF HOUSEHOLD INCOME

Dec 1989 (record)	37.5%
Now (typical household)	37.4%

NEW HOUSING LOAN COMMITMENTS (INDEX)

Nov 2025 peak	100
Now	73

Index of 73 is calculated from "27% below peak".

SYDNEY HOME PRICES: FALL (%)

Since February (AFR, 2 Nov)	10%
CBA forecast, at most	up to 16%

Different measures from different dates; do not add them.

CYCLICAL: WILL TURN AT SOME POINT

Higher interest rates and a slowing housing market. HSBC's Paul Bloxham says this part of the story eventually reverses.

STRUCTURAL: PERSISTENT

Labor's May changes to negative gearing and the capital gains tax discount leave fewer investors. Bloxham calls the mix a "double whammy".

THE RBA'S OUTLOOK FOR HOUSEHOLDS

−5%
real household disposable income per person vs its 2021 peak
OPINION

1.3%
GDP growth by late next year (RBA), near stagnant per person

Late 2027
real wages keep falling until at least then (RBA)

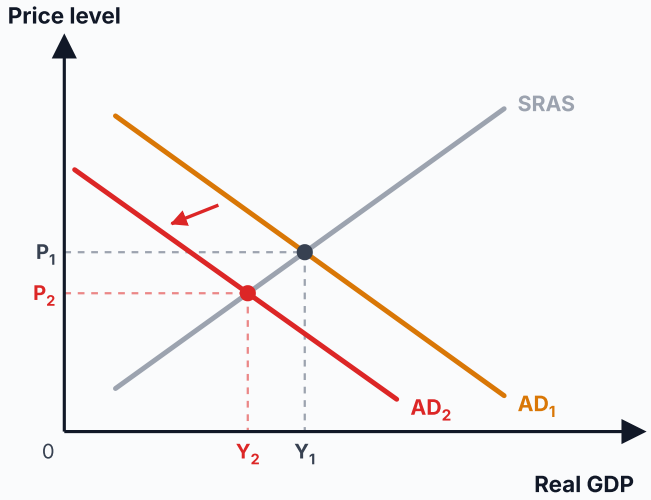
5.1%
unemployment by late 2028 (RBA forecast)

COMPARE Two businesses, one squeeze OPINION

	David Jones (retail)	Canva (tech)
Profile	188-year-old department store, sold for about $100m in late 2022 to private equity firm Anchorage.	13-year-old design software company valued at US$31b (A$44.5b).
The squeeze	Rising interest rates, labour, energy and rents; falling house prices add a reverse wealth effect on spending.	Higher global cost of capital and bond yields weigh on valuations; AI adds disruption; revenue growth has stalled.
Result	An AFR headline says administrators will be appointed after landlord talks broke down.	Restructure of 1,217 jobs (22% of staff) to "refound" the company, the columnist says.

James Thomson's Chanticleer column argues both are early signs of a slowdown meeting AI-driven cost cutting: retail is an early warning sign, and tech is at the front of AI disruption.

DIAGRAM Why falling house prices and dear mortgages pull demand left



Falling house prices (a **negative wealth effect**), repayments near a record share of income and job cuts all reduce household spending. Aggregate demand shifts left from AD_1 to AD_2.

Aim achieved: the price level falls from P_1 to P_2, easing inflation, which is what the RBA wants.
Cost: real GDP falls from Y_1 to Y_2, so the economy slows, which is why Bullock says it will feel like a recession.

Economists note the earlier rate rises are yet to fully work through the economy, a **time lag**.

Exam angle: Monetary policy works by shifting AD. Here the May tax changes amplify the RBA's rate rises, so AD falls further than rates alone would cause. Not to scale.

COMPARE Will it be a recession? Three readings

THE RBA

It is not forecasting a technical recession. Bullock says it will **feel** like one because people feel poorer and incomes are not growing quickly, so spending cannot either.

THE COLUMNIST OPINION

It could feel **worse**: a deliberately induced slowdown collides with AI-driven restructuring, and firms cut costs to protect profit.

THE LABOUR MARKET

Still holding up fairly well by historical standards. The RBA's models say unemployment must rise to about 5.1% to subdue inflation.

WHO BEARS THE COST

- **Variable-rate borrowers:** repayments near a record share of income.
- **Investors:** one says he will now buy only commercial property.
- **Retail and tech workers:** cost cutting and restructures.
- **Renters,** if supply shrinks and rents rise.

WHO MIGHT GAIN, AND WHEN

- **Buyers:** a falling market usually brings opportunities, but investors are held back by uncertainty over tax and rates.
- **Everyone,** if inflation returns to 2–3%, which the RBA does not expect before late next year.

SYLLABUS LINK

Topic 3: effects of inflation; problems created by unemployment; distribution of wealth, taxation. **Topic 4 Monetary policy:** impact of interest rate changes on economic activity; limitations (time lags).
Key terms: variable rate, negative gearing, capital gains tax, wealth effect, real wages, cyclical vs structural.

TRY THIS

1. Explain how rising interest rates and falling house prices can reduce consumer spending. **(4 marks)**
2. Analyse the effects of high inflation and falling real wages on different groups of households. **(6 marks)**

Connects to: Explainer 1, the inflation the RBA is fighting; Explainer 2, the budget and the tax changes behind the investor exit.

Sources (AFR): Property investors have been sent packing (L. Slade, 5 Nov); Bullock's wrong. DJs and Canva show this may feel worse than recession (J. Thomson, Chanticleer, 4 Nov, opinion); RBA's ugly outlook spells tough times (J. Kehoe, 3 Nov, opinion); Labor's economic model is broken (J. Kehoe, 4 Nov, opinion); RBA rates have peaked but relief still a year away (C. Lefort, 4 Nov).